



SWIGGY CHURN ANALYSIS

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FINANCIAL PERFORMANCE

WHAT HAPPENED?

Revenue **grew 339% over five years** from ₹3,468 Cr in FY2020 to ₹15,227 Cr in FY2025. Yet despite this strong top-line growth, Swiggy has never reported a full-year profit. **Net losses peaked at ₹4,179 Cr in FY2023** — the same year competition from Zomato was most intense and market share erosion was at its worst.

The FY2021 revenue dip of –26.6% was driven by COVID-19 lockdowns reducing food orders. FY2022 saw a 124% rebound as the market recovered and Instamart (quick commerce) was launched. From FY2023 onwards, revenue growth stabilized at 35–45% annually, but losses remain significant.

WHY DOES IT MATTER?

Investment capacity gap: Zomato turned profitable in FY2025 (₹527 Cr profit) while Swiggy lost ₹3,117 Cr. A profitable competitor can continuously reinvest into better technology, support infrastructure, and customer experience — widening the service gap that drives churn.

Burn rate pressure on retention: When under cost pressure, companies cut spending on customer service, partner training, and loyalty programmes — the exact levers that drive retention. Swiggy's bot-driven support and declining app ratings are symptoms of this constraint.

Investor confidence risk: Post-IPO (listed Nov 2024), continuing losses while a listed competitor is profitable puts Swiggy under greater scrutiny. Any pullback in capital markets funding would force even harder cost cuts, accelerating the churn cycle.

ACTIONS TO TAKE

Swiggy must break the cycle where cost pressure worsens customer experience which deepens churn which reduces revenue per user which increases loss per user. Set a public profitability target date: Communicating a clear path to break-even (e.g. Q4 FY2026) improves investor confidence and reduces the pressure to cut costs in churn-sensitive areas.



CUSTOMER AND RETENTION

WHAT HAPPENED?

Swiggy's most alarming data point is not financial — it is the retention funnel. Of every 100 users who install the Swiggy app, only 60 place a first order. By week 2, only 14 remain active. By month 1, just 15% remain. By month 4 (the M+4 benchmark), only 7% of original installs are still using the platform.

This drop-off is not just an industry norm — it represents a structural failure to convert first-time users into habitual customers. Compounding this, Platform MTU (Monthly Transacting Users) fell from a peak of 17M in FY2023 to 14.7M in FY2024 — a 15.9% decline — even as revenue continued to grow. This is the defining churn signal: Swiggy was extracting more revenue from fewer and fewer customers.

WHY DOES IT MATTER?

Swiggy is running on a leaky bucket model.

Customer Acquisition Cost (CAC) is wasted at scale: If 93% of acquired users churn by month 4, the full CAC investment for those users generates zero long-term value.

Revenue growth masks the retention crisis: FY2025 revenue grew 35% even as the MTU base was recovering from a dip. This is unsustainable — if loyal users are overloaded while churned users are not reactivated, the active base will thin again.

ACTIONS TO TAKE

Swiggy needs to fix the first 30-day experience — this is where 86% of new users are lost. The FY2025 MTU recovery to 19.8M shows acquisition is working; the problem is retention after acquisition.

Launch a First-Order Guarantee programme: Guarantee perfect delivery on a user's first three orders — proactive refund if anything goes wrong, no questions asked.

Build a 30-day onboarding journey: New users should receive a personalised sequence

Target the 112.7M ever-transacted inactive users: This is Swiggy's most valuable re-acquisition segment. They already know the platform. A win-back campaign with a "We've improved" message and a ₹100 voucher is lower CAC than acquiring a completely new user.



COMPETITIVE INTELLIGENCE

WHAT HAPPENED?

Swiggy entered FY2020 as the market leader in Indian food delivery with approximately 50% market share. By FY2023, it had fallen to 37% — an 18-percentage-point gap behind Zomato at 55%. This is the steepest and most sustained market share decline in Indian food delivery history.

In quick commerce, the situation is even more concerning. Swiggy's Instamart holds only 25% of the market, behind Zepto (29%) and Blinkit (46%). Swiggy is third in the category it helped pioneer. Blinkit operates 1,544 dark stores to Instamart's 1,021, commands a higher average order value (₹665 vs ₹527), and has cut its EBITDA losses by 92% while Instamart's losses grew 60%.

WHY DOES IT MATTER?

Every percentage point of market share lost to Zomato is a permanent reduction in Swiggy's addressable GOV and a corresponding increase in the unit economics pressure to compensate.

Profitability divergence creates a compounding disadvantage: Profit funds better in AI, faster delivery infrastructure, and superior loyalty rewards — all of which attract more customers from Swiggy, widening the gap further.

AOV gap in quick commerce compounds daily: At ₹138 less per order, and with Instamart doing 12.15 lakh daily orders, Swiggy is forgoing approx. ₹167 Cr per day in potential GOV.

ACTIONS TO TAKE

Strengthen Swiggy One Loyalty Program: Swiggy One needs an aspirational upgrade to match Gold's stickiness. This is the single highest-ROI retention lever available.

Concentrate Instamart expansion on profitable metros first: Rather than 1,100 stores across all markets, Swiggy should achieve category leadership in 5–8 tier-1 cities before expanding.

Invest in differentiated technology: Zomato's conversational AI and demand prediction tools create stickiness that discounts cannot buy. Swiggy should prioritize AI-based personalization of the feed, predictive re-ordering, and smart ETA accuracy as its technology moat.

COMPETITIVE INTELLIGENCE

WHAT HAPPENED?

Customer review data across six public platforms paints a consistent and alarming picture. Swiggy's average rating is 1.5/5 on Trustpilot (1,077 reviews), 1.5/5 on PissedConsumer (9,468 reviews), 1.45/5 on MouthShut, and 1.2/5 on WorthePenny (89% one-star reviews). Only the Google Play Store rating of 3.8/5 reflects a more moderate score.

Delivery delays and false ETAs account for 34% of all complaints — the single largest issue. Missing or wrong items account for 26%. Refund denial or delay accounts for 18%. Only 15% of PissedConsumer reviewers would recommend Swiggy to another person.

WHY DOES IT MATTER?

A 1.5/5 rating with 85% of reviewers unwilling to recommend the platform directly maps to the 93% M+4 churn rate seen in the retention data.

The 34% delivery delay complaint is the primary churn trigger: Every late delivery with a false ETA is a broken promise.

Refund denial turns a recoverable situation into permanent churn: When an order goes wrong, a user who receives a quick refund has a higher retention rate than a user who never had an issue.

High-value customers are visibly at risk: Customer quotes include a user spending ₹20,000 per year on Swiggy threatening to leave over refund denial.

ACTIONS TO TAKE

Fix ETA accuracy first: Implement ML-based delivery time prediction that accounts for traffic, restaurant prep time, and partner availability in real time.

Introduce a proactive refund system: If an order is flagged as late automatically trigger a customer notification with a compensation offer before the customer complains

Replace the bot-wall with human escalation in 3 taps: Customer support should reach a human agent within 3 interactions for any order issue involving money.

Make fee transparency mandatory at checkout: Show the full order before the user sees the menu. Eliminating bill shock at payment removes the hidden fees complaint entirely.

SUMMARY

PRIORITY ACTION PLAN

Action	Expected impact	Priority
Fix ETA accuracy with ML-based prediction	Reduces #1 complaint (34%). Reduces churn at first delivery.	Critical
Launch First-Order Guarantee program	Pushes users past week-2 drop-off. Improves M+4 from 7%.	Critical
Replace bot support with 3-tap human escalation	Converts recoverable situations into retained customers.	Critical
Proactive refund for orders >10 min late	Eliminates 18% refund complaint. Recovers high-value users.	High
Upgrade Swiggy One Loyalty Program	Increases order frequency.	High
Win-back campaign for 112M inactive users	Lower CAC than new acquisition. Drives MTU recovery.	High
Delivery partner accountability loop	Reduces rude partner complaints (5%). Improves NPS.	Medium
Mandatory fee transparency at checkout	Eliminates hidden fee complaint (4%). Reduces cart abandonment.	Medium

